

City of Santa Monica

Development Impact Fees Report Pursuant to the Mitigation Fee Act

Fiscal Year Ended June 30, 2021

Child Care Linkage Fee

For the purpose of compliance with Government Code subsection 66006(b)(1), the following information regarding AB 1600 fees is presented:

For each separate account or fund established pursuant to subdivision (a), the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the following information for the fiscal year:

(A) A brief description of the type of fee in the account or fund.

Child Care Linkage Fee - The purpose of the Child Care Linkage Fee (CCLF) imposed and collected on development of commercial projects adding floor area of at least 7,500 square feet or multi-family residential projects development within the City since fiscal year 2011-2012 is to fund property acquisition, development, and construction of child care facilities in order to create new child care spaces.

(B) The amount of the fee.

Project	Fee
Residential	\$165.79 per unit
Hotel	\$3.95 per square foot
Retail	\$5.62 per square foot
Office	\$7.87 per square foot

(C) The beginning and ending balance of the account or fund and (D) The amount of the fees collected and the interest earned.

FISCAL YEAR	BEGINNING FUND BALANCE	FEES COLLECTED	INTEREST EARNED	EXPENDITURES	ENDING FUND BALANCE
FY 2020-21	\$ 1,518,294	92,625	574	1,519,238	\$ 92,255

(E) Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees. Note: The percentage will be reported upon completion of the project/s.

\$1,519,238 in CCLF was expended on the construction of the Santa Monica Early Childhood Lab School (Santa Monica Lab) in FY 2020-21. Santa Monica Lab school project was completed during the reporting period. The total cost of the project was \$7,831,652, \$4,838,368 of which was funded by Child Care Linkage Fee Funding (62%).

F) An approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Construction of the Santa Monica Early Childhood Lab School began in Spring 2018 and construction was completed in Spring 2021.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfers or loans were made during the fiscal year from this fund.

(H) The amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocation pursuant to subdivision (f) of Section 66001.

No refunds were made during the fiscal year.

Additional Information is being provided regarding this fee:

(1) Identification of the purpose to which the reportable fees are to be put.

The purpose of the Child Care Linkage Fee imposed and collected on development of commercial projects adding floor area of at least 7,500 square feet or multi-family residential projects development within the City since FY 2011-12 is to fund property acquisition, development, and construction of child care facilities in order to create new child care spaces.

(2) Demonstration of a reasonable relationship between the reportable fees and the purposes for which they are charged.

There is a reasonable relationship between new development upon which the Child Care Linkage Fees are charged and the need to address the increased demand for childcare within the City. In November 2005, Keyser Marston Associates, Inc., prepared a study that analyzed the linkages between child care demand and new development. The study focused on the relationships between the construction of new buildings and resulting job growth, new employees with children age 5 or under needing child care that can be met at or near the workplace, the demand for child care spaces with the per square foot building area of new construction, and the costs to build child care facilities prorated in proportion to the demand generated by new construction type. The study found that new development which does not include or contribute toward the cost of child care facilities will only serve to further exacerbate a shortage of child care spaces. Furthermore, the Child Care Linkage Fees charged will be used to fund eligible projects.

(3) Identification of all City sources and amounts of funding to complete financing of the projects as identified by the City.

The Santa Monica Early Childhood Lab School was completed in FY 2020-21 and the remaining \$92,255 balance of Child Care Linkage Fees was collected in the current fiscal year. Projects that will utilize this balance and future Child Care Linkage Fees are being identified and may be appropriated in the City's upcoming FY 2022-23 Operating Budget Addendum and FY 2022-24 Biennial Capital Improvement Program Budget.

(4) Identification of the approximate dates on which the funding referred to in item C is expected to be deposited into the appropriate account or fund.

City staff is identifying new projects to utilize the current balance and future Child Care Linkage Fee funds. Identified projects may be appropriated in the FY 2022-23 Operating Budget Addendum and FY 2022-24 Biennial Capital Improvement Program Budget, both to be approved by the City Council in June 2022.

City of Santa Monica

Development Impact Fees Report Pursuant to the Mitigation Fee Act

Fiscal Year Ended June 30, 2021

Affordable Housing Commercial Linkage Fee

For the purpose of compliance with Government Code subsection 66006(b)(1), the following information regarding AB 1600 fees is presented:

For each separate account or fund established pursuant to subdivision (a), the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the following information for the fiscal year:

(A) A brief description of the type of fee in the account or fund.

Affordable Housing Commercial Linkage Fee - A fee paid to the City by an applicant for approval of certain development projects to contribute to the creation of affordable housing production or preservation to offset additional need for affordable housing generated by new commercial development.

(B) The amount of the fee.

Project	Fee
Retail	\$11.42 per square foot
Office	\$13.34 per square foot
Hotel/Lodging	\$3.65 per square foot
Hospital	\$7.32 per square foot
Industrial	\$8.97 per square foot
Creative Office	\$11.42 per square foot
Medical Office	\$8.21 per square foot
Institutional	\$12.18 per square foot

(C) The beginning and ending balance of the account or fund and (D) The amount of the fees collected and the interest earned.

FISCAL YEAR	BEGINNING FUND BALANCE	FEES COLLECTED	INTEREST EARNED	EXPENDITURES	ENDING FUND BALANCE
FY 2020-21	\$ 281,949	395,422	3,240	141,785	\$ 538,826

(E) Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees. Note: The percentage will be reported upon completion of the project/s.

\$141,785 was disbursed to assist in the financing of the acquisition and rehabilitation loan for 12 affordable housing units located at 2621 26th Street.

(F) An approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Sufficient funds were available to assist in the financing of the acquisition and predevelopment loan beginning October 2018.

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfers or loans were made during the fiscal year from this fund.

(H) The amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocation pursuant to subdivision (f) of Section 66001.

No refunds were made during the fiscal year.

City of Santa Monica

Development Impact Fees Report Pursuant to the Mitigation Fee Act

Fiscal Year Ended June 30, 2021

Parks and Recreation Development Impact Fee

For the purpose of compliance with Government Code subsection 66006(b)(1), the following information regarding AB 1600 fees is presented:

For each separate account or fund established pursuant to subdivision (a), the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the following information for the fiscal year:

(A) A brief description of the type of fee in the account or fund.

Parks and Recreation Development Impact Fee - The purpose of the fee is to provide a direct funding source from new residential and commercial development to be used solely for the acquisition and development of open space, parkland, and recreation facilities to meet demand generated by occupants and users of the new development.

(B) The amount of the fee.

Project	Fee
Single Family Residential	\$9,092.38 per unit
Multi-Family Residential - Studio/1 Bedroom	\$4,927.22 per unit
Multi-Family Residential - 2+ Bedrooms	\$7,936.19 per unit
Retail	\$1.78 per square foot
Office	\$2.75 per square foot
Medical Office	\$1.51 per square foot
Lodging	\$3.71 per square foot
Industrial	\$1.55 per square foot

(C) The beginning and ending balance of the account or fund and (D) The amount of the fees collected and the interest earned.

FISCAL YEAR	BEGINNING FUND BALANCE	FEES COLLECTED	INTEREST EARNED	EXPENDITURES	ENDING FUND BALANCE
FY 2020-21	\$ 2,934,267	355,953	42,247	313,610	\$ 3,018,857

(E) Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees. Note: The percentage will be reported upon completion of the project/s.

In FY 2020-21, Parks and Recreation Development Impact Fees were expended on the following public improvements:

- > \$165,000 Turf Athletic Field at Airport Park - This project was completed using 100% improvement funds
- > \$131,388 completion of the North Beach Bike and Pedestrian Trail project - This project was completed during the reporting period with a total cost of \$12,134,390, 1% funded with available Parks and Recreation Development Impact Fee funds
- > \$16,881 was spent to begin the reconstruction of the playground at Marine Park - This project is ongoing
- > \$341 on repurposing the petanque courts in Palisades Park - This project is ongoing

F) An approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

In the City's FY 2021-23 Biennial Budget, Parks and Recreation Development Impact Fees have been allocated for use on three projects:

- > Marine Park Playground Reconstruction - expected construction start Spring 2022, completion Summer 2022
- > Marine Park Community Gardens Expansion - expected construction start date Spring 2022, completion Summer 2022
- > Repurposing of Palisades Park Petanque Courts - construction start date September 2021, expected completion December 2021

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

Funds used to support the completion of the North Beach Trail Project were originally budgeted in the City's Beach Fund (11). To facilitate completion of this recreation improvement project, \$131,388 was transferred from the Parks and Recreation Impact Fee Fund Balance to the Beach Fund.

(H) The amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocation pursuant to subdivision (f) of Section 66001.

No refunds were made during the fiscal year.

City of Santa Monica

Development Impact Fees Report Pursuant to the Mitigation Fee Act

Fiscal Year Ended June 30, 2021

Transportation Impact Fee

For the purpose of compliance with Government Code subsection 66006(b)(1), the following information regarding AB 1600 fees is presented:

For each separate account or fund established pursuant to subdivision (a), the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the following information for the fiscal year:

(A) A brief description of the type of fee in the account or fund.

Transportation Impact Fee - The City Council adopted an ordinance on February 26, 2013 that established a Transportation Impact Fee for new development and intensified land uses that will fund transportation network improvements such as new sidewalks, crosswalks, traffic signal upgrades, bus stops, transportation demand management, and bicycle facilities that are necessitated by the new trips associated with the land use change. The fees are based on a nexus study and calculated using residential units or commercial square footage. The fee is charged prior to issuance of building permits, unless state law requires the City to accept later fee payment. The Transportation Impact Fee reflects the costs associated with transportation network improvements and the amount of new auto trips that can be attributed to land use changes.

(B) The amount of the fee.

Project	Fee
Residential (dwelling unit)	
Single Family, Area 1	\$9,427.39 per unit
Single Family, Area 2	\$9,675.48 per unit
Multi-Family, Area 1	\$3,225.16 per unit
Multi-Family, Area 2	\$4,093.47 per unit
Multi-Family, Area 3	\$3,225.64 per unit
Non-Residential (sq. ft.)	
Retail, Area 1	\$26.05 per square foot
Retail, Area 2	\$37.33 per square foot
Office, Area 1	\$12.03 per square foot
Office, Area 2	\$13.40 per square foot
Medical Office, Area 1	\$34.86 per square foot
Medical Office, Area 2	\$36.96 per square foot
Hospital, Area 1	N/A
Hospital, Area 2	\$18.24 per square foot
Lodging, Area 1	\$4.46 per square foot
Lodging, Area 2	\$4.46 per square foot
Industrial, Area 1	\$1.48 per square foot
Industrial, Area 2	\$1.62 per square foot
Auto Sales and Display Areas, Area 1	\$1.48 per square foot
Auto Sales and Display Areas, Area 2	\$1.62 per square foot

(C) The beginning and ending balance of the account or fund and (D) The amount of the fees collected and the interest earned.

FISCAL YEAR	BEGINNING FUND BALANCE	FEES COLLECTED	INTEREST EARNED	EXPENDITURES	ENDING FUND BALANCE
FY 2020-21	\$ 11,222,812	769,632	100,162	1,484,374	\$ 10,608,232

(E) Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees. Note: The percentage will be reported upon completion of the project/s.

In FY 2020-21, Transportation Impact Fees were expended on the following public improvements:

- > \$842,927 spent on the Pedestrian Improvements at Four Schools Project
- > \$462,890 spent on Vision Zero and Mobility Project Delivery, including tools to analyze crash reports to determine safety countermeasures, project design, right of way, required studies, and construction documents to implement Vision Zero improvements on Wilshire Boulevard, 20th Street/Michigan Avenue, and Pico Boulevard
- > \$147,100 spent on Michigan Avenue Greenway 20th Street Bike Connection
- > \$27,563 spent on cargo electric bicycles for the Bike Transit Center cargo bicycle library program, representing 6.64% of the total project budget (more information in section G)
- > \$3,894 spent on the Pico Boulevard/SMC Pedestrian Safety Improvements, including design, right-of-way, utility coordination and construction document preparation

F) An approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

Project Name	Project Progress
Pedestrian Improvements at Four Schools	Construction completed Fall 2021
17th Street/Santa Monica College/Expo Bike Path	Construction began in October 2021
Pico Boulevard / Santa Monica College Pedestrian Safety Improvements	Construction contract out to bid Fall 2021 with construction expected to start winter 2021/22
Michigan Avenue Greenway 20th Street Bike Connection	Construction to begin July 2022
Wilshire Blvd Corridor Safety Enhancements	3 Phase implementation; phase one will be bid out in coordination with Public Works repaving work with install scheduled for Summer/Fall 2022; second phase received grant funding and will start design Winter 2021/22 with construction in mid-2023
Vision Zero and Mobility Project Delivery	Design and contracting phases vary by project
4th Street Enhancements	Construction to begin Spring 2022

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

An interfund transfer was made during the fiscal year utilizing Transportation Impact Fees (TIF) to reimburse the Miscellaneous Grants Fund for TIF eligible work. In March 2020, the City spent \$27,563 to procure 5 cargo electric bicycles, 5 chain locks, and 2 child seats for the Bike Transit Center's cargo bicycle library program. Initially, staff had hoped to fund these with a CalTRANS Safe Routes to School Grant however it was later determined that the grant funds had expired. Staff initiated an interfund transfer to utilize available TIF funding on this eligible project cost.

(H) The amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocation pursuant to subdivision (f) of Section 66001.

No refunds were made during the fiscal year.

City of Santa Monica
Development Impact Fees Report Pursuant to the Mitigation Fee Act
Fiscal Year Ended June 30, 2021

Water Demand Mitigation Fee

For the purpose of compliance with Government Code subsection 66006(b)(1), the following information regarding AB 1600 fees is presented:

For each separate account or fund established pursuant to subdivision (a), the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the following information for the fiscal year:

(A) A brief description of the type of fee in the account or fund.

The Water Demand Mitigation Fee - A one-time fee the City charges new development to mitigate the total daily water consumption rate projected for the development. The total daily water demand for the project is calculated using standard water demand factors which have been developed by City staff. The water demand mitigation fee is set at \$3.00 for each gallon of daily water demand which must be mitigated. Effective, July 1, 2017, the Water Demand Mitigation Fee was replaced with the Water Neutrality Fee. The City will continue to collect Water Demand Mitigation revenues for permit applications submitted prior to July 1, 2017 with the following exception: Any new development applications for a building permit filed on or before November 27, 2018, that only results in a change of use of less than 6,000 square feet and/or an addition of less than 1,500 square feet, will be required to pay the water demand mitigation fee in effect as of November 27, 2018.

This fee is required when:

- Single-Family Residence -- for construction of a new residence or whenever adding 50% or greater to the square footage.
- Multi-Family -- for construction of a new building or whenever new units are added.
- Non-Residential -- for construction of a new building or whenever there is a change of use, changing or adding plumbing fixtures, or adding restaurant seats or square footage.

(B) The amount of the fee.

Project	Fee
Single-Family	\$990.00
Multi-Family (condominium fees same as apartments):	
Studio/Single Apartment:	\$315.00
1 Bedroom Apartment:	\$375.00
2 Bedroom Apartment:	\$570.00
3 Bedroom Apartment:	\$750.00
Duplex (2 Apartments):	\$900.00
Non-Residential:	To be determined by the Civil Engineering Plan Checker

(C) The beginning and ending balance of the account or fund and (D) The amount of the fees collected and the interest earned.

FISCAL YEAR	BEGINNING FUND BALANCE	FEES COLLECTED	INTEREST EARNED	EXPENDITURES	ENDING FUND BALANCE
FY 2020-21	\$ 1,376,256	0	0	962,037	\$ 414,219

(E) Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees. Note: The percentage will be reported upon completion of the project/s.

In FY 2020-21, \$962,037 of Water Demand Mitigation Fees were expended on the Recycled Water Main Expansion Project.

F) An approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

As part of the FY2020-21 Exception Based Capital Improvement Program Budget Process, the following funding was appropriated with Water Demand Mitigation Fees:

- > Sustainable Water Infrastructure Project (SWIP) Injection Well (SM-10i) - construction began October 2021, expected completion by end of 2022
- > Recycled Water Main Expansion Project - construction began December 2020

(G) A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended, and, in the case of an interfund loan, the date on which the loan will be repaid and the rate of interest that the account or fund will receive on the loan.

No interfund transfers or loans were made during the fiscal year from this fund.

(H) The amount of refunds made pursuant to subdivision (e) of Section 66001 and any allocation pursuant to subdivision (f) of Section 66001.

No refunds were made during the fiscal year.

Additional Information is being provided regarding this fee:

(1) Identification of the purpose to which the reportable fees are to be put.

The purpose of the Water Demand Mitigation is to mitigate the total daily water consumption projected for the new development. The fee is used to fund City water projects to offset the additional water consumption projected.

(2) Demonstration of a reasonable relationship between the reportable fees and the purposes for which they are charged.

There is a reasonable relationship between the Water Demand Mitigation Fund and the Recycled Water Main Expansion being the project is to reduce potable water usage in the City by using recycled water for irrigation and other non-potable uses instead of potable water. The relationship the SWIP injection well is that it will replenish local groundwater supply with recycled water and reduce potable water imported from Metropolitan Water District of Southern California (MWD). The relationship the Citywide Municipal Drinking Water project is to develop a well to supply water to the City Hall East to increase local supply and reduce imported water from MWD.

(3) Identification of all City sources and amounts of funding to complete financing of the projects as identified by the City.

Project	WMD Funds	Local Funds
Non-Potable Water Main Expansion	\$165,503	\$0
Olympic Well - SWIP Injection Well	\$39,150	\$2,400,000
Citywide Municipal Drinking Water	\$209,566	\$750,000

(4) Identification of the approximate dates on which the funding referred to in item (3) is expected to be deposited into the appropriate account or fund.

Project	WMD Funds	Local Funds
Non-Potable Water Main Expansion	Funds Available and Authorized by Council 12/15/2020	Funds Available and Authorized by Council 12/15/2020
Olympic Well - SWIP Injection Well	Funds Available and Authorized by Council 6/22/21	Funds Available and Authorized by Council 6/22/21
Citywide Municipal Drinking Water	3rd Quarter FY 21/22	3rd Quarter FY 21/22